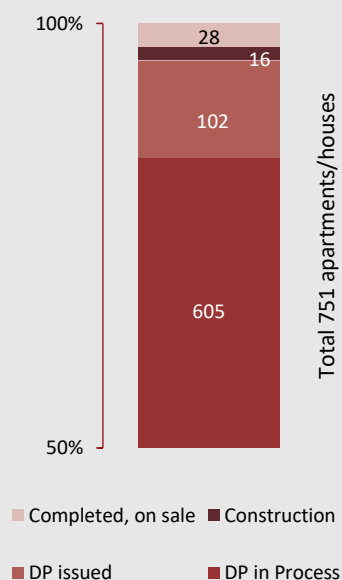
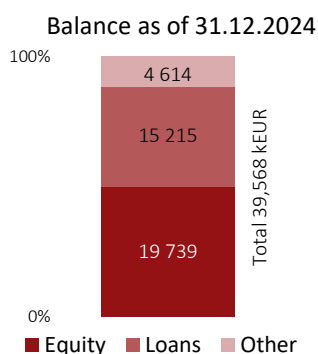
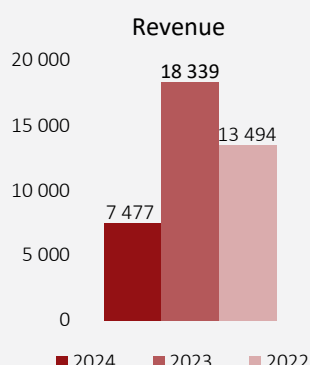


Contents

Management Report.....	4
Group CEO's Review	4
Arco Vara's Active Projects as of 31.12.2024	7
General Information	9
Activities of the group	9
Group structure.....	9
Key Performance Indicators	10
People	13
Description of main risks	15
Sustainability (ESG) principles	16
Environmental impact assessment	19
Shares and shareholders	21
Corporate governance report.....	23
Remuneration report.....	26
CEO's Confirmation of the Management Report.....	27
Consolidated Financial Statements.....	28
Consolidated Statement of Comprehensive Income	28
Consolidated Statement of Financial Position	29
Consolidated Statement of Cash Flows	30
Consolidated Statement of Changes in Equity	31
Notes to the Consolidated Financial Statements	32
1. General information.....	32
2. Statement of compliance and basis of preparation.....	32
3. Changes in accounting policies and presentation of information	33
4. Significant accounting policies	33
5. Acquisition and sale of subsidiaries.....	40
6. Segment information.....	40
Notes to the Consolidated Statement of Comprehensive Income	42
7. Revenue.....	42
8. Cost of sold real estate and services	42
9. Marketing and distribution expenses.....	43
10. Administrative expenses	43
11. Financial expenses.....	44
12. Earnings per share.....	44
Notes to the Consolidated Statement of Financial Position	45
13. Receivables and prepayments.....	45
14. Inventories.....	45
15. Investment property	47
16. Property, plant and equipment and intangible assets	48
17. Interest bearing liabilities.....	49
18. Payables and deferred income	51
19. Share capital	52
20. Financial instruments and financial risk management	52
Other information.....	56
21. Assets pledged as collateral	56
22. Contingent liabilities.....	56
23. Related party disclosures	56
24. Structure of Arco Vara group	57
25. Parent company's unconsolidated primary financial statements.....	58
Statement by the management board.....	62

Management Report

Group CEO's Review



The year 2024 brought numerous challenges in the sector of real estate, requiring companies to be flexible, exercise strategic planning, and adapt to the changing market conditions. The real estate developer Arco Vara faced a complicated economic environment where low consumer confidence and high interest rates impacted the activity of the real estate market and the financial results of the company.

The greatest challenge of the first half of the year was selling completed apartments in Kodulahe and Kuldlehe developments, the market value of which is nearly 14 million euros. Even though a growth appeared in the number of transactions on the apartment market in the second half of the year, the overall interest in purchasing remained modest. In addition, the start of construction of the next stage of Kodulahe (Soodi 6) was postponed due to processing the construction permit, which in turn impacted the project schedule and future revenue.

The volatility of the economic environment and high borrowing costs placed pressure on corporate profitability. Despite all this, we managed to maintain a steady and clear path towards increasing future development volumes and to continue development in line with our strategy. We may have ended the year 2024 with a loss, but our focus remained on ensuring long-term sustainability and strategic management of investments.

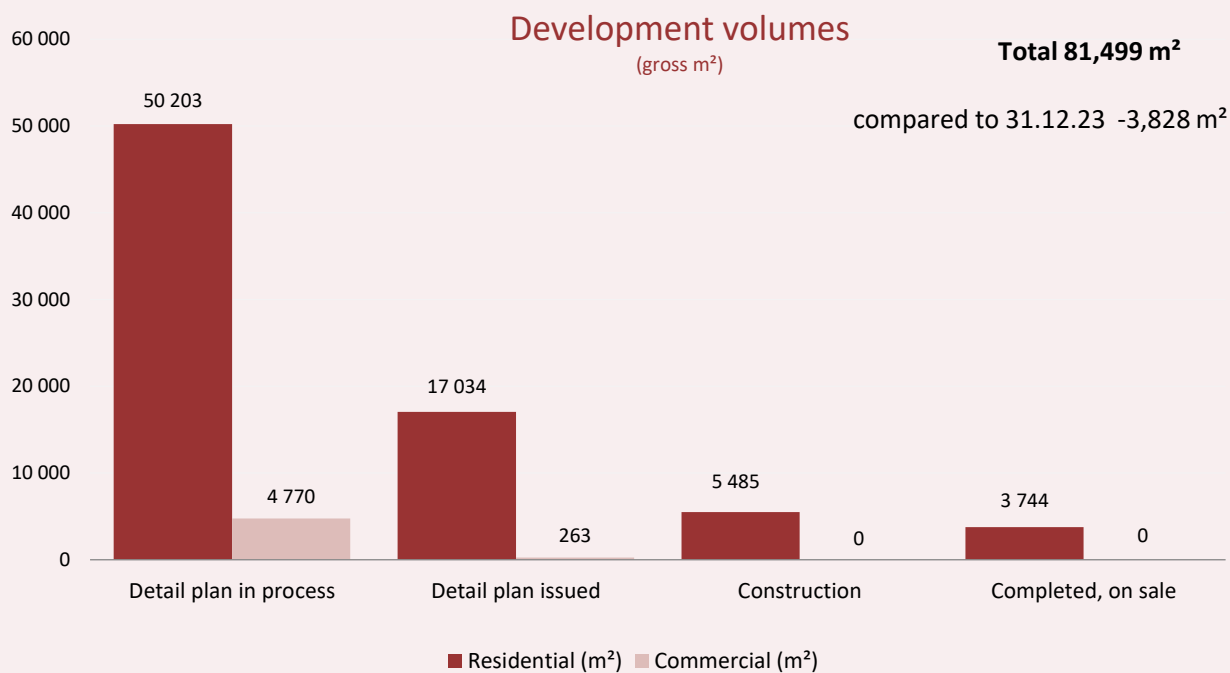
Signs of stabilisation were seen in the second half of the year - the decrease of Euribor had a positive effect on the market and the transaction volume of apartments grew in Q4 of 2024 compared to both the same period of the previous year as well as the first half of 2024. An adjustment of pricing policies and occupancy rates were also observed in both the residential market and commercial real estate.

Arco Vara continued to seek new investments and develop existing projects. Our focus remained on developing sustainability and expanding the life cycle analysis to all new projects. Our promise "Build the future, create value" guides all of our decisions and activities.

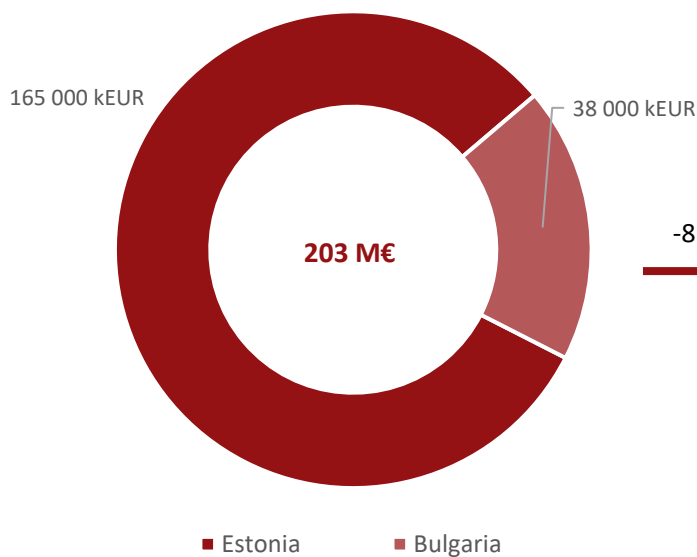
In 2024, we focused on developing quality residential environments, maintaining a strong financial position, and flexible adjustment to market changes, in order to ensure the sustainable growth and competitiveness of the company. Our mission is creating modern, sustainable and desirable residential environments where the customer can create their dream home.

Our vision is to be the first choice for homebuyers. A 360-degree real estate journey combining development, construction, sales, and customer service, allows us to offer the best homebuying experience and homes with the best convenience of use. The primary focus of Arco Vara is a satisfied customer - which will also remain the focus of our daily work in the future. Even though 2024 was the year of adaptation and finding balance, we remain confident that our strategic direction and knowledgeable management form a strong basis for future developments and sustainable growth.

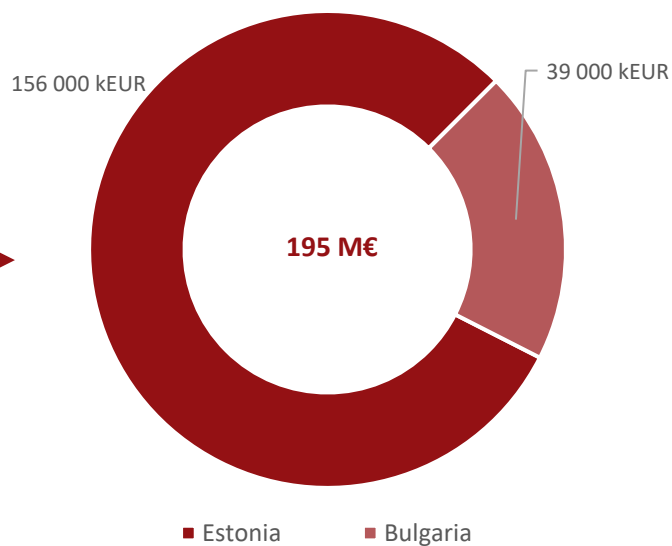
Our main goals for 2025 are to complete the first stage of the Bulgarian development, sell the completed apartments in Kodulahe and Kuldlehe, and to start the construction at Soodi 6. We are also moving forward with the development of the Arcojärve project, hoping to obtain the construction permit as early as by the end of the year. In addition, we are looking for new projects to add to our portfolio in order to increase development volume and strengthen the position of the company on the real estate market.



Development revenue of development projects
upon completion as of 31.12.2023



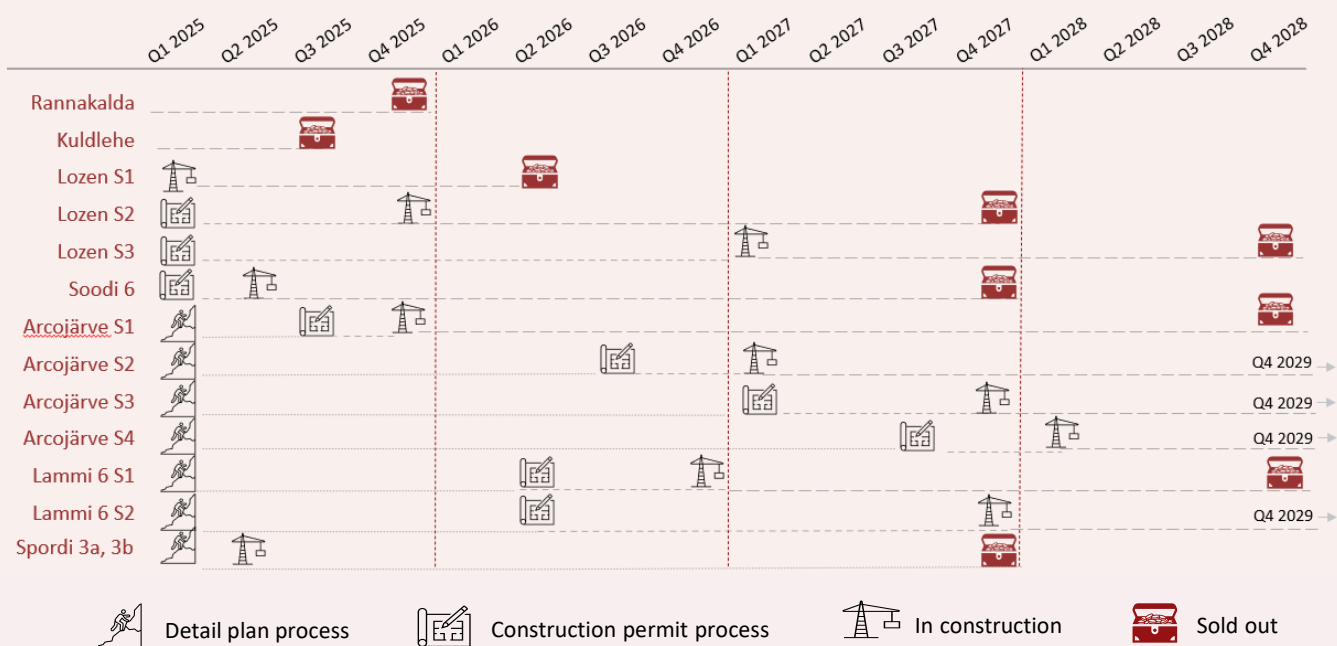
Development revenue of development projects
upon completion as of 31.12.2024



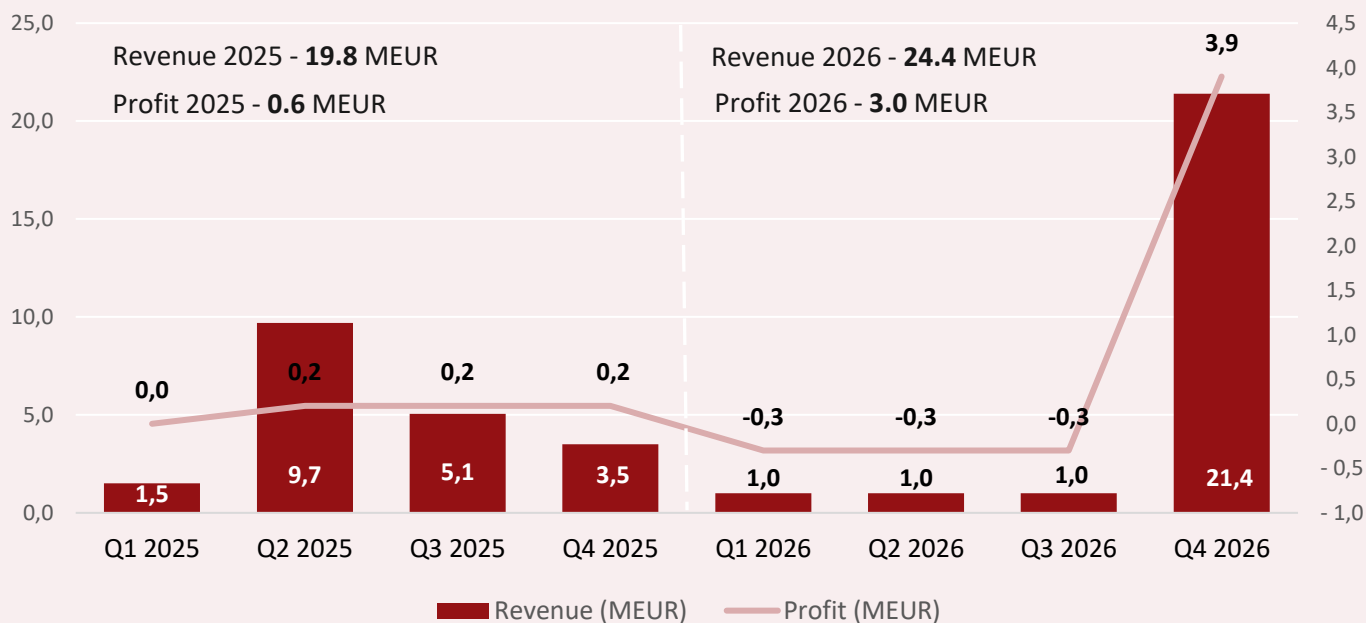
-8 M€



Development schedule 2025 - 2028



Arco Vara Group revenue and profit prognoses 2025-2026



Arco Vara's Active Projects as of 31.12.2024



Project name

Kodulahe Rannakalda

Address

Lammi 8, Tallinn

Product main type

Apartments, commercial spaces

Project stage

Sale

Area of plot m²

9,525

GSA/GLA (above ground)

2,371

No of units (above ground)/ available

113/25



Project name

Botanica Lozen Stage 1

Address

Lozen, near Sofia

Product main type

Houses

Project stage

Construction

Area of plot m²

20,190

GSA/GLA (above ground)

5,485

No of units (above ground)/ available

16/7



Project name

Kuldlehe

Address

Lehiku road 11, Tallinn

Product main type

Apartments

Project stage

Sale

Area of plot m²

5,219

GSA/GLA (above ground)

558

No of units (above ground)/ available

5/3



Project name

Kodulahe VII etapp

Address

Soodi 6, Tallinn

Product main type

Apartments, commercial spaces

Project stage

Detail plan issued

Area of plot m²

5,444

GSA/GLA (above ground)

4,543

No of units (above ground)

66/56



Project name

S2 and S3 Botanica Lozen

Address

Lozen, near Sofia

Product main type

Houses

Project stage

Detail plan issued

Area of plot m²

27,260

GSA/GLA (above ground)

<11,309>

No of units (above ground)

<40>



Project name

Arcojärve

Address

Paldiski road 124b, Tallinn

Product main type

Apartments, commercial spaces

Project stage

Detail plan in process

Area of plot m²

69,506

GSA/GLA (above ground)

<28,132>

No of units (above ground)

<430>

Arco Vara's Active projects as of 31.12.2024



Project name

Stage 8 Kodulahe

Address

Lammi 6, Tallinn

Product main type

Apartments, commercial spaces

Project stage

Detail plan in process

Area of plot m²

14,553

GSA/GLA (above ground)

<13,100>

No of units (above ground)

<187>



Project name

Padel venue

Address

Helme 18, Tallinn

Product main type

Sports hall

Project stage

Construction

Area of plot m²

5,712

GSA/GLA (above ground)

1,983

No of units (above ground)/ available

1/0

Note: Values presented between < > sign represent future target values for projects which do not have a construction permit yet. The table does not reflect sellable or lettable volumes below grade including parking spaces and storages. The table does not give complete overview of the group's land reserves.

General Information

Activities of the group

Arco Vara AS and other entities of Arco Vara group (hereafter together 'the group') are engaged in real estate development and services related to real estate (EMTAK codes 41201). The group considers Estonia and Bulgaria as its home markets.

The main activity of the Group is the development of complete living environments and related commercial real estate. In the development of the living environment, the completed homes are sold to the final consumer. The focus of the group is on the development of residential real estate - new commercial real estate will only be developed if it is required by law as a prerequisite for the construction of residential immovables.

The group itself no longer offers real estate brokerage and appraisal services, but in Estonia, Latvia and Bulgaria, these services continue to be provided under the trademarks of Arco Vara through license agreements, from which the group earns license fees.

Arco Vara mission and vision

Arco Vara promise:

We build the future and create value.

Arco Vara vision:

-  Arco Vara is the first choice for homebuyers.
-  Our 360-degree real estate journey, combining development, construction, sales, and customer service, delivers the best homebuying experience to the customer.
-  We offer homes with the highest level of comfort and usability.

Arco Vara's mission is to create modern, sustainable and desirable living environments where the customer can design the home of their dreams.

Group structure

Arco Vara AS is part of the OÜ Alarmo Kapital concern.

As of 31 December 2024, the group consisted of 13 companies, which is one less than of 31 December 2023.

Significant subsidiaries as of 31 December 2024

Company name	Location	Share capital (nominal value)	Equity balance on 31 December 2024	The group's interest
<i>In thousands of euros</i>				
Botanica Lozen EOOD	Bulgaria	2,931	1,306	100%
Kodulahe Kvartal OÜ	Estonia	140	4,581	100%
Kerberon OÜ	Estonia	5	1,533	100%
Arcojärve OÜ	Estonia	28	702	100%
Kodukalda OÜ	Estonia	3	191	100%

2

countries

30+

years of experience

2,800+

new homes

380,000+

developed m²

Arco Vara AS subsidiaries

Kodulahe Kvartal OÜ	100%
Kodulahe II OÜ	100%
Kodukalda OÜ	100%
Arcojärve OÜ	100%
Kerberon OÜ	100%
Arco Tarc OÜ	100%
Arco Vara Bulgaria EOOD	100%
Arco Invest EOOD	100%
Iztok Parkside EOOD	100%
Botanica Lozen EOOD	100%
Arco Manastirski EOOD	100%
Arco Riverside EOOD	100%

Key Performance Indicators

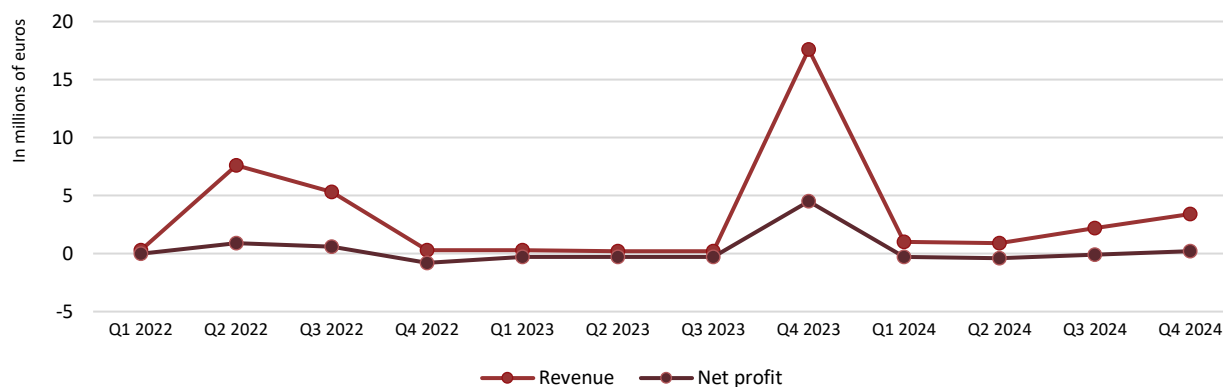
- The group's revenue was 7,477 thousand euros, which is 2.5 times less than the revenue of 18,339 thousand euros in 2023.
- In 2024, the Group's operating profit (=EBIT) was 68 thousand euros and net loss 624 thousand euros. In 2023, the group made operating profit of 3,940 thousand euros and net profit of 3,550 thousand euros.
- In 2024, 23 apartments were sold in projects developed by the group in Estonia. In 2023, 66 apartments, 3 commercial spaces in Estonia and 3 land plots in Latvia.
- In 2024, the group's debt burden (net loans) increased by 4,887 thousand euros up to the level of 13,495 thousand euros as of 31 December 2024. As of 31 December 2024, the weighted average annual interest rate of interest-bearing liabilities was 8.7%. This is an increase of 0.5 percentage points compared to 31 December 2023.

Key financial indicators

	2024	2023
In thousands of euros		
Revenue	7,477	18,339
Operating profit (EBIT)	68	3,940
Finance expense	-640	-390
Income tax	-52	0
Net profit (loss)	-624	3,550
Cash flows used in operating activities	-6,589	-11,672
Cash flows from/used in investing activities	-2,282	8,891
Cash flows from financing activities	9,119	1,115
Net cash flows	248	-1,666
Cash and cash equivalents at beginning of period	1,472	3,427
Cash and cash equivalents at end of period	1,720	1,472
Total assets at the end of period	39,568	35,190
Invested capital at the end of period	34,954	31,097
Net loans at the end of period	13,495	8,608
Equity at the end of period	19,739	21,017

Revenue and net profit/loss during recent years

	Q1 2022	Q2 2022	Q3 2022	Q4 2022	Total 2022	Q1 2023	Q2 2023	Q3 2023	Q4 2023	Total 2023	Q1 2024	Q2 2024	Q3 2024	Q4 2024	Total 2024
In thousands of euros															
Revenue	0.3	7.6	5.3	0.3	13.5	0.3	0.2	0.2	17.6	18.3	1.0	0.9	2.2	3.4	7.5
Net profit/loss	0.0	0.9	0.6	-0.8	0.7	-0.3	-0.3	-0.3	4.5	3.6	-0.3	-0.4	-0.1	0.2	-0.6



Key Ratios

	2024	2023
Net profit ratio	-8%	19%
EPS (in euros)	-0.06	0.34
Diluted EPS (in euros)	-0.06	0.34
EBITDA per share (in euros) (rolling, four quarters)	0.01	0.39
ROIC (rolling, four quarters)	-1.8%	9.5%
ROE (rolling, four quarters)	-3.1%	19.7%
ROA (rolling, four quarters)	-1.7%	8.2%
Equity ratio	49.9%	59.7%
Current ratio	7.55	4.66
Quick ratio	1.53	0.97
Financial leverage	2.00	1.67
Average loan term (in years)	2.1	2.1
Average annual interest rate of loans	8.7%	8.2%
Number of staff, at period end	13	18

Formulas used:

Net profit ratio = net profit attributable to owners of the parent / revenue for the period

Earnings per share (EPS) = net profit attributable to owners of the parent / weighted average number of ordinary shares outstanding during the period

Diluted earnings per share (Diluted EPS) = net profit attributable to owners of the parent / (weighted average number of ordinary shares outstanding during the period + number of all potentially issued shares)

EBITDA per share = operating profit + depreciation and amortization / weighted average number of ordinary shares outstanding during the period

Invested capital = current + non-current interest-bearing loans and borrowings + equity (at the end of period)

Net loans = current + non-current interest-bearing loans and borrowings – cash and cash equivalents – short-term investments in securities (at the end of period)
 Return on invested capital (ROIC) = net profit of last four quarters / average invested capital
 Return on equity (ROE) = net profit of last four quarters / average equity
 Return on assets (ROA) = net profit of last four quarters / average total assets
 Equity ratio = equity / total assets
 Current ratio = current assets / current liabilities
 Quick ratio = (current assets - inventory) / current liabilities
 Financial leverage = total assets / equity
 Number of staff = number of people working for the group under employment or service contracts

Operating report

The revenue of the Group totaled 7,477 thousand euros in 2024 (in 2023: 18,339 thousand euros), including revenue from the sale of properties in the Group's own development projects in the amount of 7,145 thousand euros (in 2023: 17,581 thousand euros).

Other sales revenue in 2024 mainly includes revenue from franchise fees of real estate agencies in Estonia, Latvia and Bulgaria. Franchise fees for 2024 were 273 thousand euros, franchise revenues for 2023 were 252 thousand euros.

In 2024, the pre-sale of the next stage of Kodulahe began: 62 apartments and 4 commercial premises in the form of three buildings will be built at Soodi 6. By the time this report is published, 8 apartments and 2 commercial premises have been presold. The homes are scheduled to be completed in 2026.

In the most premium phase of Kodulahe, Rannakalda, a pavilion, 4 service areas and 108 apartments (as three separate apartment buildings), many of which have a sea view, have been completed. 21 apartments were sold in the project in 2024. As of the publication date of the quarterly report, 21 of the 113 are vacant.

A subsidiary of Arco Vara, Arcojärve OÜ, in 2021 signed an agreement for land acquisition beside Lake Harku, address Paldiski road 124b, Tallinn. More than 35,000 m² of residential and commercial real estate (GBA) is planned for development. The project is called Arcojärve. The start of the construction of the first stage is planned for 2025.

In the Pirita Kuldlehe project, an exclusive cluster house with 5 spacious homes was built in Pirita. By the date of publication of the quarterly report, 3 out of 5 apartments are vacant.

The Botanica Lozen project foresees construction of 54 homes (houses) in three stages. Construction and sales of the first 16 buildings have begun – the private houses of the first phase will be completed in Q2 2025. By the date of publication of the quarterly report, 9 out of 16 houses have been pre-sold.

Kerberon OÜ, a subsidiary of Arco Vara, developed a fully automatic padel venue with six indoor courts at Helme 18 with the help of the construction company Arco Tarc OÜ. The venue has been given a long-term full lease and generates rental income for the group from 2024.

After to the balance sheet, the group acquired a property with building permit at Spordi 3a, 3b Kristiine Tallinn. The development will consist of two buildings and 7,600 m² of residential real estate (gross building area) with an underground parking lot. The buildings will have a total of 56 apartments, several of which have a balcony or terrace. Pre-sales of Spordi 3a and 3b apartments will begin in the Q2 2025, and homeowners will receive the keys by the end of 2026. The buildings will be built by Arco Vara's construction company Arco Tarc OÜ.

People

Remuneration

As of 31 December 2024, 13 people worked for the group (18 as of 31 December 2023). Employee remuneration expenses in 2024 amounted to 1,465 thousand euros (2023: 2,252 thousand euros). The labor costs also include the wages of the construction team, which are capitalized in the cost of the developments being built and which reach the costs through the cost price of the sold apartments.

The remuneration of the member of the management board / CEO of the group's parent company including social security charges amounted to 244 thousand euros in 2024 (in 2023: 281 thousand euros).

In 2024, the members of the supervisory board of the group's parent company were remunerated by 36 thousand euros (including social tax), by 14 thousand euros in 2023.

Management board



The management board of Arco Vara AS has one member. Since 15 July 2024, the member of the management board and chief executive officer of Arco Vara AS is Kristina Mustonen who has a mandate for 4 years. Kristina Mustonen holds a Master of Business

Administration degree from Estonian Business School. From 2007 to 2020, she worked for the Vilniaus Prekyba Group, starting as a purchasing manager at Maxima Eesti OÜ, then managing several departments and for the last five years as the head of the commercial department and a member of the board. She later worked as the head of the commercial department at Bauhof Group AS. From 2020 to 2023, she was a member of the board of HKScan Estonia AS and the Baltic Business Director. In February 2023, she returned to Maxima Eesti OÜ as the CEO, where she worked until March 2024.

Supervisory board

The supervisory board of Arco Vara AS has 5 members. Since 12 January 2021, the supervisory board consists of Tarmo Sild (the Chairman), Kert Keskpaik, Hillar-Peeter

Luitsalu, Allar Niinepuu and Steven Yaroslav Gorelik. More information about the key persons in Arco Vara is available on the company's website www.arcovara.com.

Tarmo Sild



Tarmo Sild graduated from the University of Tartu, faculty of law B.A. in 1998, with further studies in University of Helsinki, faculty of law in 1997-1998 and in Vrije Universiteit Brussel: PILC, LL.M (cum laude) in 1999. Tarmo Sild was the CEO of Arco Vara AS from 2012 until 2020.

Prior to joining Arco Vara, he was a sworn advocate and a member of the board of the law firm HETA from 1998 to 2003; from 2003 to 2012 a founder, sworn advocate, board member, advisor at the law firm LEXTAL; from 2008 a founder and member of the Management Board of AS luteCredit Europe.

In addition, Tarmo Sild is also a member of the management board of the following companies and non-profit organizations outside Arco Vara group: Aia Tänav OÜ, OÜ Alarmo Kapital, OÜ Catsus, Eesti Kaugpüüdjate Liit, Eesti Porsche Klubi, AS luteCredit Europe.

Steven Yaroslav Gorelik



Steven Yaroslav Gorelik Gorelik has graduated from Columbia University and Carnegie Mellon University. He joined Firebird Private Equity Advisors LLC in 2005 and currently serves there as their head of research and portfolio manager. Mr Gorelik also holds

CFA (Chartered Financial Analyst) charter.

Mr Gorelik is member of supervisory board of Baltijas Apdrošināšanas Nams (LV), Georgian beverages Holdings (GG), and a member of the management board of EPhaG AS (ES).

Kert Keskaik



Kert Keskaik graduated from the Tallinn Technical University with a degree in business administration in 2007. Mr Keskaik is member of management board of OÜ K Vara and founder of OÜ A&K Vara. His companies have been active Tallinn Stock Exchange investors since 2000. In 2001, Mr Keskaik founded a skating sports club

Spordiklubi Albe Team where he serves as member of management board and has won multiple Estonian championships in speed skating and inline skating. Mr. Keskaik is also member of management board of Mittetulundusühing Rullisufestival, Uisuklubi Albe, Allokatsioon OÜ, Boost Yourself SPV1 OÜ, K24 Invest OÜ, Kolde Invest OÜ, Kusjuures OÜ, Lead Invest OÜ, Merimetsa Invest OÜ, One Eleven OÜ, Sporditurg OÜ, Silverticket SPV1 OÜ, Tagakarman OÜ and Tripalium OÜ and member of supervisory board of Arco Transport AS.

Hillar-Peeter Luitsalu



Hillar-Peeter Luitsalu graduated from the University of Tartu, faculty of law in 1994. In 1993, he joined Arco Vara and since then has been active in different management bodies of Arco Vara group companies. In 1999-

2004, Mr Luitsalu was a member of Arco Vara management board. Since 2005, Mr Luitsalu has been member of Arco Vara supervisory board (since 2012, chairman of supervisory board).

Mr Luitsalu is a member of management board of the following companies and non-profit organizations outside Arco Vara group: OÜ HM Investeeringud, Loodusvarade Halduse Mittetulundusühing, Noah Villas OÜ, TIK Spordimaja OÜ and OÜ Silverpool. He is also a member of the council of the Tallinn English College Foundation.

Allar Niinepuu



Allar Niinepuu graduated from the Estonian Center of Maritime Education as shipmaster in 1992. After two years' work in Estonian Shipping Company,

he established his first company AS Kavass, which was initially involved in shipping consumables business and thereafter acquired and operated local supermarkets in Tallinn. Mr Niinepuu has served as member of Supervisory Board of Arco Vara AS since 2013. He is also member of management board of OÜ Alarmo Kapital and OÜ Kavass and chairman of supervisory board of AS IuteCredit Europe.